Morgan Stanley | RESEARCH

UPDATE

July 30, 2026 03:08 AM GMT

Qualcomm Inc. | North America

Apple Exit Accelerates Diversification

WHAT'S CHANGED

Qualcomm Inc. (QCOM.O)	From	To
Price Target	$231.00	**$220.00**

AlphaSignals Earnings Reaction

Unchanged	— In-line	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Qualcomm's diversification is occurring faster than expected as Apple exits, but the transition is not seamless: near-term margin dilution is meaningful and execution risk remains. We stay EW, as we see a balanced risk/reward.

Key Takeaways

- Apple: iPhone 18 share is below the prior 20% view, accelerating the modem wind-down, though QTL royalties still appear intact.
- Gross margin: AI ramps faster than expected, but early custom silicon is lower margin, pressuring gross profit before merchant products scale.
- Auto: Exit-rate revenue rises to ~$7B from $6B, reinforcing automotive as Qualcomm's strongest near-term diversification engine.
- AI: The $5B FY27 target is thesis-changing, but execution and mix remain key as Qualcomm builds toward higher-value merchant products.
- Remain EW, PT to $220.

Fiscal Q3 results were broadly in line, with revenue at the high end of guidance, while gross margins remained the key near-term pressure point due to higher input costs and less favorable chip mix within the premium handset tier. The September-quarter guide was also broadly in line on revenue but slightly below consensus on earnings, as continued cost and mix pressures weigh on QCT margins; pricing actions should help, though the benefit will take several quarters to flow through.

The Apple to AI transition isn't completely seamless - but having a trillion dollar AI market to diversify into certainly helps. Qualcomm's market share of the iPhone 18 is below the 20% that they had initially forecast - we think because Apple is no longer serving the mm wave sku - which is a bit of an incremental headwind, Initial AI revenues are higher than expected, but lower gross margin initially, so our overall gross profit comes down more than revenue.

It's our sense that the path here could be a little bumpy. the first AI wins will likely have less Qualcomm design, so the margins are lower, with merchant products

MORGAN STANLEY & CO. LLC

Joseph Moore
Equity Analyst
Joseph.Moore@morganstanley.com +1 212 761-7516

Ella Tulchinsky
Research Associate
Ella.Tulchinsky@morganstanley.com +1 212 761-2222

Shane Brett
Equity Analyst
Shane.Brett@morganstanley.com +1 212 761-1022

Mason Wayne
Research Associate
Mason.Wayne@morganstanley.com +1 212 761-6012

Nicole Kozhukhov
Research Associate
Nicole.Kozhukhov@morganstanley.com +1 212 761-1636

Qualcomm Inc. (QCOM.O, QCOM US)

Semiconductors | United States of America

Stock Rating	**Equal-weight**
Industry View	**Attractive**
Price target	**$220.00**
Shr price, close (Jul 29, 2026)	$155.68
Mkt cap, curr (mm)	$168,311
52-Week Range	$259.92-121.99

Fiscal Year Ending	09/25	09/26e	09/27e	09/28e
ModelWare EPS ($)	9.69	8.38	7.15	9.12
EPS ($)§	11.90	10.80	10.99	13.37
EPS ($)**	12.05	10.51	10.10	12.38
P/E	17.2	18.6	21.8	17.1
Div yld (%)	2.1	2.3	2.4	2.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

starting to ramp next year. But the AI opportunity is certainly large enough that the diversification thesis is stronger than we would have expected a few months ago.

Smartphone: China Android bottoms, Apple worse, Samsung at run rate. China Android related weakness in the first half is said to be largely behind them, though the memory shortage is still a challenge. The premium tier where Qualcomm is more exposed is a bit stronger, with the brunt of the weakness on the low end. Meanwhile, share of the Samsung (covered by Shawn Kim) handset market has stabilized at about 70%, the longer term run rate, vs. the more elevated 2025 number.

In terms of Apple, covered by Erik Woodring, guidance had been for Qualcomm to lose 80% share of the iPhone 18, which we think was based on the mm wave versions remaining with Qualcomm, by mutual decision, that number is lower. Qualcomm still has the content in the 17, which will linger until next year, at which point Apple QCT revenues will be minimal, largely as expected. On the positive side, the Apple royalty looks to be intact, as management has been saying, as with renewal in April of 2027 we think that Qualcomm would likely be disclosing by now that Qualcomm will be challenged.

AI ramping faster, but at some cost to gross margins. AI will ramp to about $600 mm in the December quarter, but as a result margins are under pressure. We think that the initial ramp of AI products is likely the lower margin, lower value products, transitioning to higher margin products fully developed by Qualcomm next year. This is showing up in gross margin commentary for next year.

Automotive targets higher. Automotive continues to be a solid success story for Qualcomm, who has become the largest automotive semiconductor supplier. The company indicated automotive revenues would exit the year at a $7 b run rate, higher than the previous $6 bn target. For now, automotive is the best diversification aspect for Qualcomm, though longer term it could be dwarfed by the AI oppportunity.

Details on the quarter: Revenue in the quarter of $9.95bn (down 6.2% q/q and down 4.0% y/y) came in slightly ahead of the Street at $9.69bn and our estimate of $9.67bn. On a segment basis, QCT revenue was $8.5bn (down ~6.3% q/q and 5.4% y/y) and QTL was $1.3bn. Non-GAAP gross margin came in at ~54.0%, below the Street and our estimate of 55.6% and 56.0%, respectively. EPS of $2.21 was in-line with the Street at $2.23 and our estimate of $2.18.

Changes to estimates: For CY26 we now model revenue/gross margin/EPS of $41.0bn/53.7%/$9.19 vs. our prior $40.3bn/55.1%/$9.28. For CY27 we model revenue/gross margin/EPS of $47.3bn/52.0%/$10.88 vs. our prior of $49.2 / 53.8% / $11.45.

Thoughts on the stock: We continue to be a bit cautious; while the management team has executed nicely, we don't take AI penetration for granted. The $5 bn forecast for AI next year from the analyst day was larger than we thought, and we upgraded the stock from UW to EW as a result post the analyst day - $5 bn of diversification revenue is thesis changing. But carving out a higher margin defensible position in AI will take time, and with the leaders in AI processors trading at a lower multiple we do see better risk reward elsewhere.

That said, for patient investors, there could be quite a bit of optionality here, and the history of strong execution and diversification into other markets does boost our confidence. But we remain EW. Regarding our price target, our revised estimates lower CY27 MW EPS (includes SBC) to $7.85. Applying the same 28x multiple, our price target declines from $231 to $220.

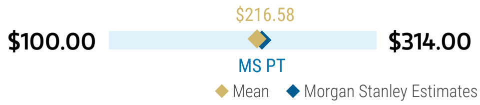
Risk Reward – Qualcomm Inc. (QCOM.O)

Key edge AI enabler, but wide range of outcomes with smartphone and data center

PRICE TARGET $220.00

We use a 28x (the midpoint of QCOM's historical range) MW PE multiple on $7.85 in CY2027 earnings (includes stock based compensation), as we believe new data center revenue is offsetting a muted smartphone cycle from memory constraints. This is roughly 20x Non-GAAP EPS of $10.88.

Consensus Price Target Distribution

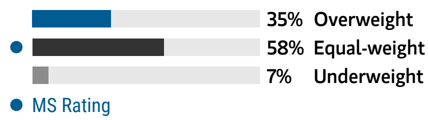


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

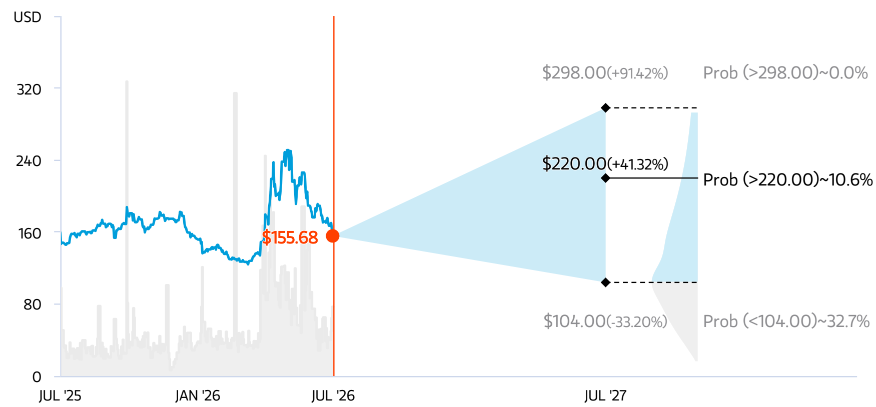
- Handset volumes seem likely to be pressured by severe memory shortage, starting at the low end and becoming more pervasive as the year goes on
- Diversification into automotive has been very strong, and new data center initiatives look promising near-term but remain a show-me story longer-term
- The data center AI opportunity is obviously so large that even a modicum of success can make a difference even to a larger company like Qualcomm, but getting to critical mass is also very difficult. We are watching developments here closely.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 29 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

BULL CASE $298.00

34X Base Case CY26 MW EPS of $8.76

Exposure to premium market shields QCOM from most of memory headwinds. Autos, IoT, and Data Center scale quickly to diversify away from the smartphone market.

BASE CASE $220.00

28x CY27 MW EPS of $7.85

While we are expecting a muted smartphone cycle from memory constraints, the new data center revenue is offsetting headwinds. We are valuing it at the midpoint of their historic range.

BEAR CASE $104.00

20X Bear Case CY26 MW EPS of $5.21

Memory constraints worse than expected, smartphone is pressured even at the high end. Diversification story fails to develop.

Risk Reward – Qualcomm Inc. (QCOM.O)

KEY EARNINGS INPUTS

Drivers	Sep 2025	Sep 2026e	Sep 2027e	Sep 2028e
GAAP Revenue ($, mm)	44,283	42,991	44,539	52,345
Non-GAAP Gross Margin (%)	55.9	54.2	52.2	52.7
Non-GAAP EPS ($)	12.05	10.51	10.10	12.38
Inventory ($, mm)	6,526	6,535	8,178	8,411
DOI ($)	122.3	121.2	140.3	124.0

INVESTMENT DRIVERS

- Smartphone market growth and Qualcomm's share in chipsets
- Revenue diversification (automotive & IoT) beyond handsets

GLOBAL REVENUE EXPOSURE

- 0-10% India
- 0-10% Japan
- 10-20% APAC, ex Japan, Mainland China and India
- 10-20% Europe ex UK
- 20-30% North America
- 30-40% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 **BEST**	24 Month Horizon	3/5 **MOST**	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Memory constraints ease faster than expected
- Android market is more resilient
- Apple transition is slow
- Non-handset business scales faster than expected

RISKS TO DOWNSIDE

- Smartphone memory headwinds worse than expected
- Apple internal silicon timeline brought forward
- Share loss to competitors
- Diversification story fails to develop

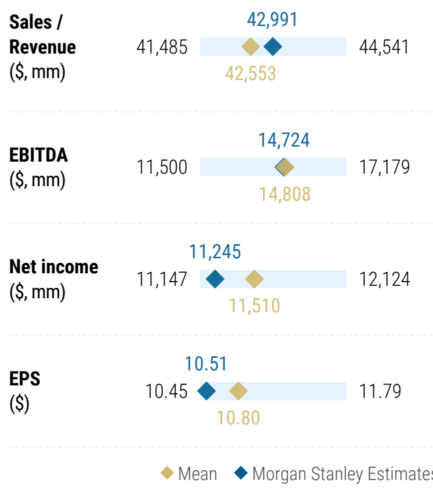
OWNERSHIP POSITIONING

Inst. Owners, % Active	39.6%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2026e



Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

QCOM: Snapshot for the quarter ended June 2026

Income Statement									
Qtr Results:	**Actual**			**Lst Qtr**	**QoQ**	**Lst Yr**	**YoY**	**Consensus**	**MSe**
Revenue	$9,947.0			$10,599.0	*-6.2%*	$10,365.0	*-4.0%*	$9,694.9	$9,671.2
Gross Margin	*54.0%*			*54.7%*	-69 bps	*56.2%*	-221 bps	*55.6%*	*56.0%*
EPS	$2.21			$2.65	($0.44)	$2.77	($0.56)	$2.23	$2.18
Nxt Qtr Outlook:	**Low**	**High**	**Midpoint**						
Revenue	$9,700.0	$10,500.0	$10,100.0		*1.5%*	$11,270.0	*-10.4%*	$10,068.7	$9,522.8
EPS	$2.05	$2.25	$2.15		($0.06)	$3.02	($0.87)	$2.38	$2.10

Source: Morgan Stanley Research estimates, FactSet, Company data

Exhibit 2: Income Statement Variance

MW financials (excl 1x items), $ MMs except per share	Reported F3Q26	MS Est F3Q26	Diff: Act. vs. Est.	Per sh. Diff.
Revenues	9,947.0	9,671.2	275.8	0.26
COGs	4,604.0	4,275.2	328.8	(0.31)
Gross Profit	5,343.0	5,396.0	(53.0)	(0.05)
GM %	*53.7%*	*55.8%*	*-2.1%*	
R&D	2,511.0	2,638.2	(127.2)	0.12
SG&A	886.0	787.1	98.9	(0.09)
Other Opex	0.0	0.0	0.0	NM
Total Opex	3,397.0	3,425.3	(28.3)	0.03
Op. Income	1,946.0	1,970.7	(24.7)	(0.02)
Op. M %	*19.6%*	*20.4%*	*-0.8%*	
Taxes	337.0	331.5	5.5	NM
Net Income	2,297.0	1,569.2	727.8	0.69
EPS	**$2.15**	**$1.48**	**$0.67**	**0.67**

Source: Company data, Morgan Stanley Research estimates

Projected Financial Statements

Exhibit 3: QCOM: Projected Income Statement

Qualcomm Incorporated Income Statement	C4Q23A	C1Q24A	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E	C1Q27E	C2Q27E	C3Q27E	C4Q27E	C1Q28E	C2Q28E	C3Q28E
($ in millions; fiscal year ends in September)	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
	F1Q24A	F2Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E
Revenue - Non-GAAP	9,922.0	9,386.0	9,391.0	10,244.0	11,669.0	10,836.0	10,365.0	11,270.0	12,252.0	10,599.0	9,947.0	10,192.6	10,274.6	10,632.9	11,137.3	12,493.8	12,994.5	13,124.1	12,933.1	13,293.3
Q/Q Change	14.5%	-5.4%	0.1%	9.1%	13.9%	-7.1%	-4.3%	8.7%	8.7%	-13.5%	-6.2%	2.5%	0.8%	3.5%	4.7%	12.2%	4.0%	1.0%	-1.5%	2.8%
Y/Y Change	4.9%	1.3%	11.2%	18.2%	17.6%	15.4%	10.4%	10.0%	5.0%	-2.2%	-4.0%	-9.6%	-16.1%	0.3%	12.0%	22.6%	26.5%	23.4%	16.1%	6.4%
COGS	4,312.0	4,106.0	4,174.0	4,467.0	5,161.0	4,937.0	4,606.0	5,033.0	5,568.0	4,900.0	4,670.0	4,900.7	4,896.9	5,197.9	5,403.6	6,132.5	6,326.8	6,316.8	6,171.0	6,307.0
Gross Profit	**5,623.0**	**5,283.0**	**5,219.0**	**5,777.0**	**6,508.0**	**6,042.0**	**5,759.0**	**6,237.0**	**6,684.0**	**5,699.0**	**5,277.0**	**5,291.9**	**5,377.7**	**5,435.1**	**5,733.7**	**6,361.4**	**6,667.7**	**6,807.3**	**6,762.1**	**6,986.3**
Gross Margin	56.6%	56.3%	55.6%	56.4%	55.8%	55.0%	55.6%	55.3%	54.6%	53.8%	53.1%	51.9%	52.3%	51.1%	51.5%	50.9%	51.3%	51.9%	52.3%	52.6%
Gross Profit-Non Gaap	**5,671.0**	**5,339.0**	**5,269.0**	**5,836.0**	**6,567.0**	**5,957.0**	**5,824.0**	**6,322.0**	**6,767.0**	**5,794.0**	**5,369.0**	**5,377.9**	**5,467.7**	**5,525.1**	**5,825.7**	**6,447.4**	**6,757.7**	**6,897.3**	**6,854.1**	**7,072.3**
Gross Margin - Non Gaap	57.2%	56.9%	56.1%	57.0%	56.3%	55.0%	56.2%	56.1%	55.2%	54.7%	54.0%	52.8%	53.2%	52.0%	52.3%	51.6%	52.0%	52.6%	53.0%	53.2%
R&D	2,096.0	2,236.0	2,259.0	2,302.0	2,230.0	2,216.0	2,226.0	2,370.0	2,453.0	2,463.0	2,607.0	2,701.0	2,774.1	2,764.6	2,728.6	2,561.2	3,118.7	3,018.6	2,974.6	3,057.5
% of Revs	21.1%	23.8%	24.0%	22.5%	19.1%	20.2%	21.5%	21.0%	20.0%	23.2%	26.2%	26.5%	27.0%	26.0%	24.5%	20.5%	24.0%	23.0%	23.0%	23.0%
SG&A	627.0	707.0	664.0	762.0	723.0	706.0	771.0	910.0	865.0	898.0	976.0	917.3	904.2	850.6	891.0	999.5	974.6	1,049.9	1,034.6	1,063.5
% of Revs	6.3%	7.5%	7.1%	7.4%	6.2%	6.4%	7.4%	8.1%	7.1%	8.5%	9.8%	9.0%	8.8%	8.0%	8.0%	8.0%	7.5%	8.0%	8.0%	8.0%
Other OpEx	(28.0)	-	75.0	132.0	-	-	-	39.0	-	29.0	68.0	-	-	-	-	-	-	-	-	-
Operating Expenses	2,695.0	2,943.0	2,998.0	3,196.0	2,953.0	2,922.0	2,997.0	3,319.0	3,318.0	3,390.0	3,651.0	3,618.4	3,678.3	3,615.2	3,619.6	3,560.7	4,093.3	4,068.5	4,009.3	4,120.9
Operating Expenses - Non Gaap	2,051.0	2,163.0	2,252.0	2,330.0	2,184.0	2,270.0	2,248.0	2,514.0	2,353.0	2,514.0	2,593.0	2,721.4	2,841.3	2,804.2	2,815.6	2,849.7	3,256.3	3,257.5	3,205.3	3,409.9
Operating Expenses - MW	2,634.0	2,848.0	2,878.0	3,007.0	2,920.0	2,953.0	2,890.0	3,162.0	3,224.0	3,353.0	3,397.0	3,432.4	3,678.3	3,615.2	3,619.6	3,560.7	4,093.3	4,068.5	4,009.3	4,120.9
Operating Income	**2,928.0**	**2,340.0**	**2,221.0**	**2,581.0**	**3,555.0**	**3,120.0**	**2,762.0**	**2,918.0**	**3,366.0**	**2,309.0**	**1,626.0**	**1,673.5**	**1,699.4**	**1,819.9**	**2,114.1**	**2,800.6**	**2,574.5**	**2,738.9**	**2,752.9**	**2,865.3**
Op. Margin %	29.5%	24.9%	23.6%	25.2%	30.5%	28.4%	26.6%	25.9%	27.5%	21.8%	16.3%	16.4%	16.5%	17.1%	19.0%	22.4%	19.8%	20.9%	21.3%	21.6%
Operating Income - Non Gaap	**3,620.0**	**3,176.0**	**3,017.0**	**3,506.0**	**4,383.0**	**3,687.0**	**3,576.0**	**3,808.0**	**4,414.0**	**3,280.0**	**2,776.0**	**2,656.5**	**2,626.4**	**2,720.9**	**3,010.1**	**3,597.6**	**3,501.5**	**3,639.9**	**3,648.9**	**3,662.3**
Operating Margin Non Gaap%	36.5%	33.8%	32.1%	34.2%	37.6%	34.0%	34.5%	33.8%	36.0%	30.9%	27.9%	26.1%	25.6%	25.6%	27.0%	28.8%	26.9%	27.7%	28.2%	27.6%
Consensus - Non GAAP EBIT																				
Interest Income and Other	34.0	158.0	58.0	16.0	80.0	(15.0)	190.0	53.0	181.0	(77.0)	836.0	46.0	46.0	46.0	46.0	46.0	(78.0)	(78.0)	(78.0)	(78.0)
PBT	**2,962.0**	**2,498.0**	**2,279.0**	**2,597.0**	**3,635.0**	**3,105.0**	**2,952.0**	**2,971.0**	**3,547.0**	**2,232.0**	**2,462.0**	**1,719.5**	**1,745.4**	**1,865.9**	**2,160.1**	**2,846.6**	**2,496.5**	**2,660.9**	**2,674.9**	**2,787.3**
PBT Margin %	29.8%	26.6%	24.3%	25.4%	31.2%	28.3%	28.5%	26.4%	29.0%	21.1%	24.8%	16.9%	17.0%	17.5%	19.4%	22.8%	19.2%	20.3%	20.7%	21.0%
PBT - Non Gaap	**3,585.0**	**3,175.0**	**3,034.0**	**3,491.0**	**4,427.0**	**3,694.0**	**3,544.0**	**3,792.0**	**4,372.0**	**3,246.0**	**2,693.0**	**2,592.5**	**2,622.4**	**2,716.9**	**3,006.1**	**3,593.6**	**3,423.5**	**3,561.9**	**3,570.9**	**3,584.3**
PBT - Non Gaap Margin %	36.1%	33.8%	32.3%	34.1%	37.9%	34.1%	34.2%	33.6%	35.7%	30.6%	27.1%	25.4%	25.5%	25.6%	27.0%	28.8%	26.3%	27.1%	27.6%	27.0%
Income Tax Expense (Benefit)	151.0	223.0	171.0	(318.0)	455.0	293.0	286.0	6,088.0	543.0	(5,138.0)	460.0	292.3	296.7	317.2	367.2	483.9	424.4	452.3	454.7	473.8
Effective tax rate GAAP %	5.1%	8.9%	7.5%	-12.2%	12.5%	9.4%	9.7%	204.9%	15.3%	-230.2%	18.7%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Net Income, Cont. Ops.	**2,811.0**	**2,275.0**	**2,108.0**	**2,915.0**	**3,180.0**	**2,812.0**	**2,666.0**	**(3,117.0)**	**3,004.0**	**7,370.0**	**2,002.0**	**1,427.2**	**1,448.7**	**1,548.7**	**1,792.8**	**2,362.7**	**2,072.1**	**2,208.5**	**2,220.1**	**2,313.5**
Net Income From Cont. Ops .Margin GAAP%	28.3%	24.2%	22.4%	28.5%	27.3%	25.6%	25.7%	-27.7%	24.5%	69.5%	20.1%	14.0%	14.1%	14.6%	16.1%	18.9%	15.9%	16.8%	17.2%	17.4%
EPS	$ 2.46	$ 2.06	$ 1.88	$ 2.59	$ 2.83	$ 2.52	$ 2.43	$ (2.89)	$ 2.78	$ 6.88	$ 1.87	$ 1.35	$ 1.38	$ 1.49	$ 1.74	$ 2.32	$ 2.05	$ 2.20	$ 2.23	$ 2.34
EPS- Non Gaap	$ 2.75	$ 2.44	$ 2.34	$ 2.69	$ 3.41	$ 2.84	$ 2.77	$ 3.02	$ 3.50	$ 2.65	$ 2.20	$ 2.14	$ 2.19	$ 2.29	$ 2.56	$ 3.09	$ 2.96	$ 3.11	$ 3.14	$ 3.18
EPS - MW	$ 2.23	$ 1.90	$ 1.78	$ 2.06	$ 2.75	$ 2.22	$ 2.30	$ 2.41	$ 2.84	$ 1.82	$ 2.15	$ 1.56	$ 1.41	$ 1.53	$ 1.80	$ 2.42	$ 2.11	$ 2.27	$ 2.31	$ 2.44

	2021	2022	2023	2024	2025	2026	2027	2028
	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue - Non-GAAP	33,467.0	44,170.0	35,831.0	38,943.0	44,140.0	42,990.6	44,538.7	52,345.0
Q/Q Change								
Y/Y Change	42.6%	31.7%	-19.0%	8.8%	13.7%	-2.9%	3.6%	17.5%
COGS	14,262.0	18,635.0	15,869.0	17,059.0	19,737.0	20,038.7	21,630.8	25,121.6
Gross Profit	**19,304.0**	**25,566.0**	**19,951.0**	**21,902.0**	**24,546.0**	**22,951.9**	**22,907.9**	**27,223.4**
Gross Margin	57.5%	57.8%	55.7%	56.2%	55.4%	53.4%	51.4%	52.0%
Gross Profit-Non Gaap	**19,484.0**	**25,807.0**	**20,184.0**	**22,115.0**	**24,670.0**	**23,307.9**	**23,265.9**	**27,581.4**
Gross Margin - Non Gaap	58.2%	58.4%	56.3%	56.8%	55.9%	54.2%	52.2%	52.7%
R&D	7,175.0	8,195.0	8,818.0	8,893.0	9,042.0	10,224.0	10,828.6	12,169.3
% of Revs	21.4%	18.5%	24.6%	22.8%	20.4%	23.8%	24.3%	23.2%
SG&A	2,340.0	2,570.0	2,483.0	2,760.0	3,110.0	3,656.3	3,645.3	4,122.6
% of Revs	7.0%	5.8%	6.9%	7.1%	7.0%	8.5%	8.2%	7.9%
Other OpEx	-	(1,059.0)	862.0	179.0	39.0	97.0	-	-
Operating Expenses	9,515.0	9,706.0	12,163.0	11,832.0	12,191.0	13,977.4	14,473.9	16,291.9
Operating Expenses - Non Gaap	7,714.0	8,740.0	8,723.0	8,796.0	9,216.0	10,181.4	11,310.9	13,128.9
Operating Expenses - MW	9,355.0	10,753.0	11,145.0	11,367.0	11,925.0	13,406.4	14,473.9	16,291.9
Operating Income	**9,789.0**	**15,860.0**	**7,788.0**	**10,070.0**	**12,355.0**	**8,974.5**	**8,434.0**	**10,931.5**
Op. Margin %	29.2%	35.9%	21.7%	25.8%	27.9%	20.9%	18.9%	20.9%
Operating Income - Non Gaap	**11,770.0**	**17,067.0**	**11,461.0**	**13,319.0**	**15,454.0**	**13,126.5**	**11,955.0**	**14,452.5**
Operating Margin Non Gaap%	35.2%	38.6%	32.0%	34.2%	35.0%	30.5%	26.8%	27.6%
Consensus - Non GAAP EBIT								
Interest Income and Other	486.0	(863.0)	(345.0)	266.0	308.0	986.0	184.0	(312.0)
PBT	**10,275.0**	**14,997.0**	**7,443.0**	**10,336.0**	**12,663.0**	**9,960.5**	**8,618.0**	**10,619.5**
PBT Margin %	30.6%	33.9%	20.8%	26.5%	28.6%	23.2%	19.3%	20.3%
PBT - Non Gaap	**11,262.0**	**16,597.0**	**11,071.0**	**13,285.0**	**15,457.0**	**12,903.5**	**11,939.0**	**14,140.5**
PBT - Non Gaap Margin %	33.7%	37.6%	30.9%	34.1%	35.0%	30.0%	26.8%	27.0%
Income Tax Expense (Benefit)	1,233.0	2,011.0	104.0	227.0	7,122.0	(3,842.7)	1,465.1	1,805.3
Effective tax rate GAAP %	12.0%	13.4%	1.4%	2.2%	56.2%	-38.6%	17.0%	17.0%
Net Income, Cont. Ops.	**9,042.0**	**12,986.0**	**7,339.0**	**10,109.0**	**5,541.0**	**13,803.2**	**7,152.9**	**8,814.2**
Net Income From Cont. Ops .Margin GAAP%	26.9%	29.4%	20.5%	25.9%	12.5%	32.1%	16.1%	16.8%
EPS	$ 7.87	$ 11.37	$ 6.42	$ 8.98	$ 5.02	$ 12.90	$ 6.92	$ 8.82
EPS- Non Gaap	$ 8.54	$ 12.53	$ 8.43	$ 10.22	$ 12.05	$ 10.51	$ 10.10	$ 12.38
EPS - MW	$ 7.88	$ 10.47	$ 6.21	$ 7.97	$ 9.69	$ 8.38	$ 7.15	$ 9.12

	CY2021A	CY2022A	CY2023A	CY2024A	CY2025A	CY2026E	CY2027E
	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25	Dec-26	Dec-27
Revenue - Non-GAAP	35,938.0	42,929.0	36,297.0	40,690.0	44,723.0	41,013.2	47,258.6
Y/Y Change	35.0%	19.2%	-15.5%	12.1%	10.2%	-8.6%	15.2%
COGS	15,076.0	18,376.0	16,137.0	17,908.0	20,144.0	19,367.6	23,060.7
Gross Profit	**20,960.0**	**24,583.0**	**20,155.0**	**22,787.0**	**24,722.0**	**21,645.6**	**24,197.9**
Gross Margin	58.2%	57.2%	55.5%	56.0%	55.1%	52.8%	51.2%
Gross Profit-Non Gaap	**21,124.0**	**24,840.0**	**20,372.0**	**23,011.0**	**24,870.0**	**22,008.6**	**24,555.9**
Gross Margin - Non Gaap	58.8%	57.9%	56.1%	56.6%	55.6%	53.7%	52.0%
R&D	7,452.0	8,516.0	8,663.0	9,027.0	9,265.0	10,545.2	11,173.1
% of Revs	20.7%	19.8%	23.9%	22.2%	20.7%	25.7%	23.6%
SG&A	2,381.0	2,585.0	2,487.0	2,856.0	3,252.0	3,695.5	3,715.7
% of Revs	6.6%	6.0%	6.9%	7.0%	7.2%	9.0%	7.9%
Other OpEx	-	(979.0)	754.0	207.0	39.0	97.0	-
Operating Expenses	9,833.0	10,122.0	11,904.0	12,090.0	12,556.0	14,337.7	14,888.8
Operating Expenses - Non Gaap	7,953.0	8,928.0	8,568.0	8,929.0	9,385.0	10,669.7	11,725.8
Operating Expenses - MW	9,696.0	11,073.0	10,954.0	11,653.0	12,229.0	13,860.7	14,888.8
Operating Income	**11,127.0**	**14,461.0**	**8,251.0**	**10,697.0**	**12,166.0**	**7,307.9**	**9,309.0**
Op. Margin %	30.9%	33.7%	22.7%	26.3%	27.1%	17.8%	19.7%
Operating Income - Non Gaap	**13,171.0**	**15,912.0**	**11,804.0**	**14,082.0**	**15,485.0**	**11,338.9**	**12,830.0**
Operating Margin Non Gaap%	36.6%	37.1%	32.5%	34.6%	34.6%	27.6%	27.1%
Interest Income and Other	409.0	(958.0)	(217.0)	312.0	409.0	851.0	60.0
PBT	**11,536.0**	**13,503.0**	**8,034.0**	**11,009.0**	**12,575.0**	**8,158.9**	**9,369.0**
PBT Margin %	32.0%	31.4%	22.1%	27.1%	28.0%	19.9%	19.8%
PBT - Non Gaap	**12,656.0**	**15,457.0**	**11,490.0**	**14,127.0**	**15,402.0**	**11,153.9**	**12,740.0**
PBT - Non Gaap Margin %	35.2%	36.0%	31.7%	34.7%	34.4%	27.2%	27.0%
Income Tax Expense (Benefit)	1,550.0	1,643.0	157.0	531.0	7,210.0	(4,089.0)	1,592.7
Effective tax rate GAAP %	13.4%	12.2%	2.0%	4.8%	57.3%	-50.1%	17.0%
Net Income, Cont. Ops.	**9,986.0**	**11,860.0**	**7,877.0**	**10,478.0**	**5,365.0**	**12,247.9**	**7,776.3**
Net Income From Cont. Ops .Margin GAAP%	27.7%	27.6%	21.7%	25.7%	12.0%	29.9%	16.5%
EPS	$ 8.72	$ 10.38	$ 6.90	$ 9.35	$ 4.91	$ 11.53	$ 7.59
EPS- Non Gaap	$ 9.59	$ 11.68	$ 8.81	$ 10.87	$ 12.13	$ 9.19	$ 10.88
EPS - MW	$ 8.81	$ 9.38	$ 6.63	$ 8.49	$ 9.77	$ 6.95	$ 7.85

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: QCOM: Projected Balance Sheet

Qualcomm Incorporated Balance S	C4Q23A	C1Q24A	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E	C1Q27E	C2Q27E	C3Q27E	C4Q27E	C1Q28E	C2Q28E	C3Q28E
($ in millions; fiscal year ends in Sep	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
	F1Q24A	F2Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E
Assets																				
Cash and cash equivalents	$ 8,133.0	$ 9,219.0	$ 7,770.0	$ 7,849.0	$ 8,713.0	$ 7,203.0	$ 7,771.0	$ 7,843.0	$ 7,205.0	$ 5,435.0	$ 4,533.0	$ 9,054.3	$ 9,535.1	$ 6,385.2	$ 6,524.8	$ 10,716.5	$ 11,590.4	$ 8,493.5	$ 9,535.5	$ 14,730.8
Marketable securities	3,921.0	4,632.0	5,262.0	5,451.0	5,592.0	6,643.0	4,563.0	4,635.0	4,617.0	4,364.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0
Accounts receivables, net	3,513.0	3,054.0	2,948.0	3,929.0	3,550.0	3,699.0	3,410.0	4,315.0	4,153.0	4,347.0	4,668.0	3,902.5	3,482.7	4,360.9	5,226.6	4,783.6	4,404.7	5,382.6	6,069.3	5,089.7
Inventories, net	6,247.0	6,087.0	6,020.0	6,423.0	6,303.0	6,196.0	6,338.0	6,526.0	6,665.0	7,368.0	8,379.0	6,535.5	6,016.4	8,059.0	10,000.0	8,178.1	7,773.3	9,793.8	11,420.1	8,410.9
Other current assets	1,625.0	1,240.0	1,332.0	1,579.0	1,907.0	2,339.0	2,831.0	2,435.0	1,968.0	1,598.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0
Total Current Assets	**23,439.0**	**24,232.0**	**23,332.0**	**25,231.0**	**26,065.0**	**26,080.0**	**24,913.0**	**25,754.0**	**24,608.0**	**23,112.0**	**23,004.0**	**24,916.3**	**24,458.3**	**24,229.1**	**27,175.4**	**29,102.1**	**29,192.4**	**29,094.0**	**32,448.9**	**33,655.3**
Investments and long-term securitie	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Property, plant and equipment, net	4,907.0	4,724.0	4,744.0	4,665.0	4,460.0	4,410.0	4,496.0	4,690.0	4,893.0	5,071.0	5,217.0	5,329.2	5,437.1	5,554.6	5,688.3	5,879.5	6,081.2	6,274.0	6,442.7	6,616.5
Goodwill & intangibles	12,109	12,091	12,066	12,043	12,133	12,131	12,568	12,506	15,810	15,826	15,784	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0
Other long-term assets	11,680	12,120	12,599	13,215	12,917	12,751	12,885	7,193	7,723	13,127	13,362	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0
Total Assets	**52,135.0**	**53,167.0**	**52,741.0**	**55,154.0**	**55,575.0**	**55,372.0**	**54,862.0**	**50,143.0**	**53,034.0**	**57,136.0**	**57,367.0**	**59,391.5**	**59,041.3**	**58,929.7**	**62,009.7**	**64,127.6**	**64,419.6**	**64,514.0**	**68,037.6**	**69,417.8**
Liabilities & Shareholders' Equity																				
Accounts payable	2,147.0	2,314.0	2,586.0	2,584.0	2,581.0	2,479.0	2,337.0	2,791.0	2,709.0	2,973.0	2,897.0	2,795.0	2,445.4	3,251.8	3,457.5	3,497.5	3,159.5	3,951.8	3,948.4	3,597.1
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued compensation	1,757.0	1,253.0	1,780.0	1,834.0	1,424.0	1,248.0	1,586.0	1,839.0	1,505.0	1,370.0	1,470.0	2,223.5	1,907.8	1,224.6	2,307.6	2,725.6	2,412.9	1,511.5	2,679.6	2,900.0
Unearned revenue	210.0	253.0	263.0	297.0	212.0	232.0	285.0	358.0	379.0	323.0	280.0	1,198.8	1,038.2	227.7	1,199.3	1,469.4	1,313.1	281.0	1,392.7	1,563.4
Current portion LT debt	914.0	914.0	1,364.0	1,364.0	1,365.0	1,365.0	-	-	-	498.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0
Other accrued liabilities	4,141	4,409	3,754	4,425	4,372	4,220	3,592	4,156	5,229	4,603	4,277	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0
Total Current Liabilities	**9,169.0**	**9,143.0**	**9,747.0**	**10,504.0**	**9,954.0**	**9,544.0**	**7,800.0**	**9,144.0**	**9,822.0**	**9,767.0**	**11,413.0**	**12,983.3**	**12,157.4**	**11,470.1**	**13,730.3**	**14,458.5**	**13,651.4**	**12,510.3**	**14,786.7**	**14,826.5**
Other long-term liabilities	5,249.0	4,877.0	5,026.0	5,018.0	5,452.0	4,760.0	4,972.0	4,911.0	5,243.0	5,249.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0
Deferred revenue	93.0	135.0	108.0	88.0	77.0	82.0	93.0	71.0	79.0	70.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0
Long-term debt	14,566.0	14,543.0	13,190.0	13,270.0	13,212.0	13,258.0	14,788.0	14,811.0	14,817.0	14,772.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	-		-	-	-		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Shareholders' Equity	**23,058.0**	**24,469.0**	**24,670.0**	**26,274.0**	**26,880.0**	**27,728.0**	**27,209.0**	**21,206.0**	**23,073.0**	**27,278.0**	**27,658.0**	**28,112.2**	**28,587.9**	**29,163.6**	**29,983.4**	**31,373.1**	**32,472.2**	**33,707.7**	**34,954.8**	**36,295.3**
Total Liabilities & Equity	**52,135.0**	**53,167.0**	**52,741.0**	**55,154.0**	**55,575.0**	**55,372.0**	**54,862.0**	**50,143.0**	**53,034.0**	**57,136.0**	**57,367.0**	**59,391.5**	**59,041.3**	**58,929.7**	**62,009.7**	**64,127.6**	**64,419.6**	**64,514.0**	**68,037.6**	**69,417.8**

	FY2021A	FY2022A	FY2023A	FY2024E	FY2025A	FY2026E	FY2027E	FY2028E
Assets								
Cash and cash equivalents	$ 7,116.0	$ 2,773.0	$ 8,450.0	$ 7,849.0	$ 7,843.0	$ 9,054.3	$ 10,716.5	$ 14,730.8
Marketable securities	5,298.0	3,609.0	2,874.0	5,451.0	4,635.0	3,771.0	3,771.0	3,771.0
Accounts receivables, net	3,579.0	5,643.0	3,183.0	3,929.00	4,315.00	3,902.48	4,783.58	5,089.67
Inventories, net	3,228.0	6,341.0	6,422.0	6,423.0	6,526.0	6,535.5	8,178.1	8,410.9
Other current assets	854.0	2,358.0	1,535.0	1,579.0	2,435.0	1,653.0	1,653.0	1,653.0
Total Current Assets	**20,075.0**	**20,724.0**	**22,464.0**	**25,231.0**	**25,754.0**	**24,916.3**	**29,102.1**	**33,655.3**
Investments and long-term securitie	-	-	-	-	-	-	-	-
Property, plant and equipment, net	4,559.0	5,168.0	5,042.0	4,665.0	4,690.0	5,329.2	5,879.5	6,616.5
Goodwill & intangibles	8,704.0	12,390.0	12,050.0	12,043.0	12,506.0	15,784.0	15,784.0	15,784.0
Other long-term assets	7,902.0	10,732.0	11,484.0	13,215.0	7,193.0	13,362.0	13,362.0	13,362.0
Total Assets	**41,240.0**	**49,014.0**	**51,040.0**	**55,154.0**	**50,143.0**	**59,391.5**	**64,127.6**	**69,417.8**
Liabilities & Shareholders' Equity								
Accounts payable	2,750.0	3,796.0	1,912.0	2,584.0	2,791.0	2,795.0	3,497.5	3,597.1
Income taxes payable	-	-	-	-	-	-	-	-
Accrued compensation	1,531.0	1,486.0	1,685.0	1,834.0	1,839.0	2,223.5	2,725.6	2,900.0
Unearned revenue	612.0	369.0	293.0	297.0	358.0	1,198.8	1,469.4	1,563.4
Current portion LT debt	2,044.0	1,945.0	914.0	1,364.0	-	2,489.0	2,489.0	2,489.0
Other accrued liabilities	5,014.0	4,270.0	4,824.0	4,425.0	4,156.0	4,277.0	4,277.0	4,277.0
Total Current Liabilities	**11,951.0**	**11,866.0**	**9,628.0**	**10,504.0**	**9,144.0**	**12,983.3**	**14,458.5**	**14,826.5**
Other long-term liabilities	5,274.0	5,454.0	5,248.0	5,018.0	4,911.0	5,434.0	5,434.0	5,434.0
Deferred revenue	364.0	144.0	99.0	88.0	71.0	81.0	81.0	81.0
Long-term debt	13,701.0	13,537.0	14,484.0	13,270.0	14,811.0	12,781.0	12,781.0	12,781.0
Minority interest	-	-	-	-	-	-	-	-
						-	-	-
Shareholders' Equity	**9,950.0**	**18,013.0**	**21,581.0**	**26,274.0**	**21,206.0**	**28,112.2**	**31,373.1**	**36,295.3**
Total Liabilities & Equity	**41,240.0**	**49,014.0**	**51,040.0**	**55,154.0**	**50,143.0**	**59,391.5**	**64,127.6**	**69,417.8**

	CY2021A	CY2022A	CY2023A	CY2024E	CY2025E	CY2026E	CY2027E
	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25	Dec-26	Dec-27
Assets							
Cash and cash equivalents	$ 6,607.0	$ 4,808.0	$ 8,133.0	$ 8,713.0	$ 7,205.0	$ 9,535.1	$ 11,590.4
Marketable securities	4,703.0	3,430.0	3,921.0	5,592.0	4,617.0	3,771.0	3,771.0
Accounts receivables, net	4,032.0	3,960.0	3,513.0	3,550.0	4,153.0	3,482.7	4,404.7
Inventories, net	3,861.0	6,932.0	6,247.0	6,303.0	6,665.0	6,016.4	7,773.3
Other current assets	1,019.0	1,968.0	1,625.0	1,907.0	1,968.0	1,653.0	1,653.0
Total Current Assets	**20,222.0**	**21,098.0**	**23,439.0**	**26,065.0**	**24,608.0**	**24,458.3**	**29,192.4**
Investments and long-term securitie	-	-	-	-	-	-	-
Property, plant and equipment, net	4,723.0	5,215.0	4,907.0	4,460.0	4,893.0	5,437.1	6,081.2
Goodwill & intangibles	8,637.0	12,362.0	12,109.0	12,133.0	15,810.0	15,784.0	15,784.0
Other long-term assets	9,238.0	11,339.0	11,680.0	12,917.0	7,723.0	13,362.0	13,362.0
Total Assets	**42,820.0**	**50,014.0**	**52,135.0**	**55,575.0**	**53,034.0**	**59,041.3**	**64,419.6**
Liabilities & Shareholders' Equity							
Accounts payable	3,526.0	2,562.0	2,147.0	2,581.0	2,709.0	2,445.4	3,159.5
Income taxes payable	-	-	-	-	-	-	-
Accrued compensation	1,440.0	1,460.0	1,757.0	1,424.0	1,505.0	1,907.8	2,412.9
Unearned revenue	604.0	289.0	210.0	212.0	379.0	1,038.2	1,313.1
Current portion LT debt	2,042.0	1,446.0	914.0	1,365.0	-	2,489.0	2,489.0
Other accrued liabilities	4,661.0	4,324.0	4,141.0	4,372.0	5,229.0	4,277.0	4,277.0
Total Current Liabilities	**12,273.0**	**10,081.0**	**9,169.0**	**9,954.0**	**9,822.0**	**12,157.4**	**13,651.4**
Other long-term liabilities	5,249.0	5,587.0	5,249.0	5,452.0	5,243.0	5,434.0	5,434.0
Deferred revenue	257.0	105.0	93.0	77.0	79.0	81.0	81.0
Long-term debt	13,708.0	15,431.0	14,566.0	13,212.0	14,817.0	12,781.0	12,781.0
Minority interest	-	-	-	-	-	-	-
					-	-	-
Shareholders' Equity	**11,333.0**	**18,810.0**	**23,058.0**	**26,880.0**	**23,073.0**	**28,587.9**	**32,472.2**
Total Liabilities & Equity	**42,820.0**	**50,014.0**	**52,135.0**	**55,575.0**	**53,034.0**	**59,041.3**	**64,419.6**

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: QCOM: Projected Cash Flow Statement

Qualcomm Incorporated Balance S	C4Q23A	C1Q24A	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E	C1Q27E	C2Q27E	C3Q27E	C4Q27E	C1Q28E	C2Q28E	C3Q28E
($ in millions; fiscal year ends in Sep	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
	F1Q24A	F2Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E
Assets																				
Cash and cash equivalents	$ 8,133.0	$ 9,219.0	$ 7,770.0	$ 7,849.0	$ 8,713.0	$ 7,203.0	$ 7,771.0	$ 7,843.0	$ 7,205.0	$ 5,435.0	$ 4,533.0	$ 9,054.3	$ 9,535.1	$ 6,385.2	$ 6,524.8	$ 10,716.5	$ 11,590.4	$ 8,493.5	$ 9,535.5	$ 14,730.8
Marketable securities	3,921.0	4,632.0	5,262.0	5,451.0	5,592.0	6,643.0	4,563.0	4,635.0	4,617.0	4,364.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0	3,771.0
Accounts receivables, net	3,513.0	3,054.0	2,948.0	3,929.0	3,550.0	3,699.0	3,410.0	4,315.0	4,153.0	4,347.0	4,668.0	3,902.5	3,482.7	4,360.9	5,226.6	4,783.6	4,404.7	5,382.6	6,069.3	5,089.7
Inventories, net	6,247.0	6,087.0	6,020.0	6,423.0	6,303.0	6,196.0	6,338.0	6,526.0	6,665.0	7,368.0	8,379.0	6,535.5	6,016.4	8,059.0	10,000.0	8,178.1	7,773.3	9,793.8	11,420.1	8,410.9
Other current assets	1,625.0	1,240.0	1,332.0	1,579.0	1,907.0	2,339.0	2,831.0	2,435.0	1,968.0	1,598.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0	1,653.0
Total Current Assets	**23,439.0**	**24,232.0**	**23,332.0**	**25,231.0**	**26,065.0**	**26,080.0**	**24,913.0**	**25,754.0**	**24,608.0**	**23,112.0**	**23,004.0**	**24,916.3**	**24,458.3**	**24,229.1**	**27,175.4**	**29,102.1**	**29,192.4**	**29,094.0**	**32,448.9**	**33,655.3**
Investments and long-term securitie	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Property, plant and equipment, net	4,907.0	4,724.0	4,744.0	4,665.0	4,460.0	4,410.0	4,496.0	4,690.0	4,893.0	5,071.0	5,217.0	5,329.2	5,437.1	5,554.6	5,688.3	5,879.5	6,081.2	6,274.0	6,442.7	6,616.5
Goodwill & intangibles	12,109	12,091	12,066	12,043	12,133	12,131	12,568	12,506	15,810	15,826	15,784	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0	15,784.0
Other long-term assets	11,680	12,120	12,599	13,215	12,917	12,751	12,885	7,193	7,723	13,127	13,362	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0	13,362.0
Total Assets	**52,135.0**	**53,167.0**	**52,741.0**	**55,154.0**	**55,575.0**	**55,372.0**	**54,862.0**	**50,143.0**	**53,034.0**	**57,136.0**	**57,367.0**	**59,391.5**	**59,041.3**	**58,929.7**	**62,009.7**	**64,127.6**	**64,419.6**	**64,514.0**	**68,037.6**	**69,417.8**
Liabilities & Shareholders' Equity																				
Accounts payable	2,147.0	2,314.0	2,586.0	2,584.0	2,581.0	2,479.0	2,337.0	2,791.0	2,709.0	2,973.0	2,897.0	2,795.0	2,445.4	3,251.8	3,457.5	3,497.5	3,159.5	3,951.8	3,948.4	3,597.1
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued compensation	1,757.0	1,253.0	1,780.0	1,834.0	1,424.0	1,248.0	1,586.0	1,839.0	1,505.0	1,370.0	1,470.0	2,223.5	1,907.8	1,224.6	2,307.6	2,725.6	2,412.9	1,511.5	2,679.6	2,900.0
Unearned revenue	210.0	253.0	263.0	297.0	212.0	232.0	285.0	358.0	379.0	323.0	280.0	1,198.8	1,038.2	227.7	1,199.3	1,469.4	1,313.1	281.0	1,392.7	1,563.4
Current portion LT debt	914.0	914.0	1,364.0	1,364.0	1,365.0	1,365.0	-	-	-	498.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0	2,489.0
Other accrued liabilities	4,141	4,409	3,754	4,425	4,372	4,220	3,592	4,156	5,229	4,603	4,277	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0	4,277.0
Total Current Liabilities	**9,169.0**	**9,143.0**	**9,747.0**	**10,504.0**	**9,954.0**	**9,544.0**	**7,800.0**	**9,144.0**	**9,822.0**	**9,767.0**	**11,413.0**	**12,983.3**	**12,157.4**	**11,470.1**	**13,730.3**	**14,458.5**	**13,651.4**	**12,510.3**	**14,786.7**	**14,826.5**
Other long-term liabilities	5,249.0	4,877.0	5,026.0	5,018.0	5,452.0	4,760.0	4,972.0	4,911.0	5,243.0	5,249.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0	5,434.0
Deferred revenue	93.0	135.0	108.0	88.0	77.0	82.0	93.0	71.0	79.0	70.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0	81.0
Long-term debt	14,566.0	14,543.0	13,190.0	13,270.0	13,212.0	13,258.0	14,788.0	14,811.0	14,817.0	14,772.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0	12,781.0
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	-		-	-	-		-	-	-	-	-	-	-	-	-	-	-	-	-	-
Shareholders' Equity	**23,058.0**	**24,469.0**	**24,670.0**	**26,274.0**	**26,880.0**	**27,728.0**	**27,209.0**	**21,206.0**	**23,073.0**	**27,278.0**	**27,658.0**	**28,112.2**	**28,587.9**	**29,163.6**	**29,983.4**	**31,373.1**	**32,472.2**	**33,707.7**	**34,954.8**	**36,295.3**
Total Liabilities & Equity	**52,135.0**	**53,167.0**	**52,741.0**	**55,154.0**	**55,575.0**	**55,372.0**	**54,862.0**	**50,143.0**	**53,034.0**	**57,136.0**	**57,367.0**	**59,391.5**	**59,041.3**	**58,929.7**	**62,009.7**	**64,127.6**	**64,419.6**	**64,514.0**	**68,037.6**	**69,417.8**

	FY2021A	FY2022A	FY2023A	FY2024E	FY2025A	FY2026E	FY2027E	FY2028E
Assets								
Cash and cash equivalents	$ 7,116.0	$ 2,773.0	$ 8,450.0	$ 7,849.0	$ 7,843.0	$ 9,054.3	$ 10,716.5	$ 14,730.8
Marketable securities	5,298.0	3,609.0	2,874.0	5,451.0	4,635.0	3,771.0	3,771.0	3,771.0
Accounts receivables, net	3,579.0	5,643.0	3,183.0	3,929.00	4,315.00	3,902.48	4,783.58	5,089.67
Inventories, net	3,228.0	6,341.0	6,422.0	6,423.0	6,526.0	6,535.5	8,178.1	8,410.9
Other current assets	854.0	2,358.0	1,535.0	1,579.0	2,435.0	1,653.0	1,653.0	1,653.0
Total Current Assets	**20,075.0**	**20,724.0**	**22,464.0**	**25,231.0**	**25,754.0**	**24,916.3**	**29,102.1**	**33,655.3**
Investments and long-term securitie	-	-	-	-	-	-	-	-
Property, plant and equipment, net	4,559.0	5,168.0	5,042.0	4,665.0	4,690.0	5,329.2	5,879.5	6,616.5
Goodwill & intangibles	8,704.0	12,390.0	12,050.0	12,043.0	12,506.0	15,784.0	15,784.0	15,784.0
Other long-term assets	7,902.0	10,732.0	11,484.0	13,215.0	7,193.0	13,362.0	13,362.0	13,362.0
Total Assets	**41,240.0**	**49,014.0**	**51,040.0**	**55,154.0**	**50,143.0**	**59,391.5**	**64,127.6**	**69,417.8**
Liabilities & Shareholders' Equity								
Accounts payable	2,750.0	3,796.0	1,912.0	2,584.0	2,791.0	2,795.0	3,497.5	3,597.1
Income taxes payable	-	-	-	-	-	-	-	-
Accrued compensation	1,531.0	1,486.0	1,685.0	1,834.0	1,839.0	2,223.5	2,725.6	2,900.0
Unearned revenue	612.0	369.0	293.0	297.0	358.0	1,198.8	1,469.4	1,563.4
Current portion LT debt	2,044.0	1,945.0	914.0	1,364.0	-	2,489.0	2,489.0	2,489.0
Other accrued liabilities	5,014.0	4,270.0	4,824.0	4,425.0	4,156.0	4,277.0	4,277.0	4,277.0
Total Current Liabilities	**11,951.0**	**11,866.0**	**9,628.0**	**10,504.0**	**9,144.0**	**12,983.3**	**14,458.5**	**14,826.5**
Other long-term liabilities	5,274.0	5,454.0	5,248.0	5,018.0	4,911.0	5,434.0	5,434.0	5,434.0
Deferred revenue	364.0	144.0	99.0	88.0	71.0	81.0	81.0	81.0
Long-term debt	13,701.0	13,537.0	14,484.0	13,270.0	14,811.0	12,781.0	12,781.0	12,781.0
Minority interest	-	-	-	-	-	-	-	-
						-	-	-
Shareholders' Equity	**9,950.0**	**18,013.0**	**21,581.0**	**26,274.0**	**21,206.0**	**28,112.2**	**31,373.1**	**36,295.3**
Total Liabilities & Equity	**41,240.0**	**49,014.0**	**51,040.0**	**55,154.0**	**50,143.0**	**59,391.5**	**64,127.6**	**69,417.8**

	CY2021A	CY2022A	CY2023A	CY2024E	CY2025E	CY2026E	CY2027E
	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25	Dec-26	Dec-27
Assets							
Cash and cash equivalents	$ 6,607.0	$ 4,808.0	$ 8,133.0	$ 8,713.0	$ 7,205.0	$ 9,535.1	$ 11,590.4
Marketable securities	4,703.0	3,430.0	3,921.0	5,592.0	4,617.0	3,771.0	3,771.0
Accounts receivables, net	4,032.0	3,960.0	3,513.0	3,550.0	4,153.0	3,482.7	4,404.7
Inventories, net	3,861.0	6,932.0	6,247.0	6,303.0	6,665.0	6,016.4	7,773.3
Other current assets	1,019.0	1,968.0	1,625.0	1,907.0	1,968.0	1,653.0	1,653.0
Total Current Assets	**20,222.0**	**21,098.0**	**23,439.0**	**26,065.0**	**24,608.0**	**24,458.3**	**29,192.4**
Investments and long-term securitie	-	-	-	-	-	-	-
Property, plant and equipment, net	4,723.0	5,215.0	4,907.0	4,460.0	4,893.0	5,437.1	6,081.2
Goodwill & intangibles	8,637.0	12,362.0	12,109.0	12,133.0	15,810.0	15,784.0	15,784.0
Other long-term assets	9,238.0	11,339.0	11,680.0	12,917.0	7,723.0	13,362.0	13,362.0
Total Assets	**42,820.0**	**50,014.0**	**52,135.0**	**55,575.0**	**53,034.0**	**59,041.3**	**64,419.6**
Liabilities & Shareholders' Equity							
Accounts payable	3,526.0	2,562.0	2,147.0	2,581.0	2,709.0	2,445.4	3,159.5
Income taxes payable	-	-	-	-	-	-	-
Accrued compensation	1,440.0	1,460.0	1,757.0	1,424.0	1,505.0	1,907.8	2,412.9
Unearned revenue	604.0	289.0	210.0	212.0	379.0	1,038.2	1,313.1
Current portion LT debt	2,042.0	1,446.0	914.0	1,365.0	-	2,489.0	2,489.0
Other accrued liabilities	4,661.0	4,324.0	4,141.0	4,372.0	5,229.0	4,277.0	4,277.0
Total Current Liabilities	**12,273.0**	**10,081.0**	**9,169.0**	**9,954.0**	**9,822.0**	**12,157.4**	**13,651.4**
Other long-term liabilities	5,249.0	5,587.0	5,249.0	5,452.0	5,243.0	5,434.0	5,434.0
Deferred revenue	257.0	105.0	93.0	77.0	79.0	81.0	81.0
Long-term debt	13,708.0	15,431.0	14,566.0	13,212.0	14,817.0	12,781.0	12,781.0
Minority interest	-	-	-	-	-	-	-
					-	-	-
Shareholders' Equity	**11,333.0**	**18,810.0**	**23,058.0**	**26,880.0**	**23,073.0**	**28,587.9**	**32,472.2**
Total Liabilities & Equity	**42,820.0**	**50,014.0**	**52,135.0**	**55,575.0**	**53,034.0**	**59,041.3**	**64,419.6**

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

Disclosure Section

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Global Stock Ratings Distribution

(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

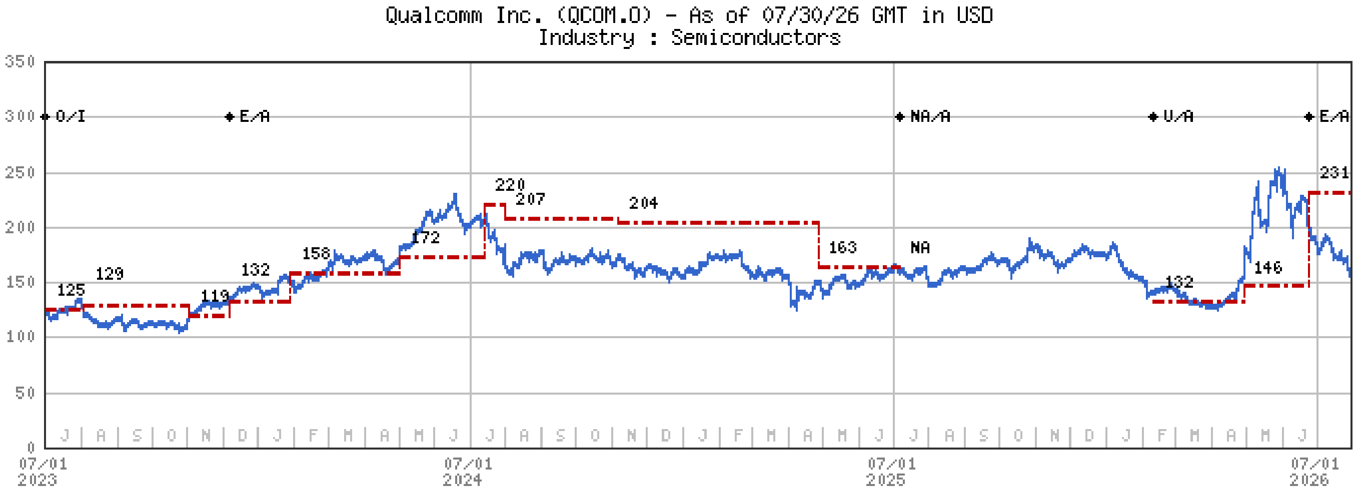
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : O/I; 12/7/23 : E/A; 7/7/25 : NA/A; 2/10/26 : U/A; 6/24/26 : E/A

Price Target History: 4/29/21 : 173; 7/29/21 : 180; 11/4/21 : 187; 12/14/21 : 215; 2/2/22 : 223; 4/25/22 : 167; 4/27/22 : 170; 10/31/22 : 147; 11/2/22 : 126; 2/2/23 : 145; 5/3/23 : 125; 8/3/23 : 129; 11/2/23 : 119; 12/7/23 : 132; 1/29/24 : 158; 5/2/24 : 172; 7/14/24 : 220; 7/31/24 : 207; 11/6/24 : 204; 4/27/25 : 163; 7/7/25 : NA; 2/10/26 : 132; 4/29/26 : 146; 6/24/26 : 231

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)
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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/29/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	$429.56
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	$13.99
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	$42.21
Ambarella Inc (AMBA.O)	O (03/29/2016)	$69.19
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	$42.73
Analog Devices Inc. (ADI.O)	O (11/16/2023)	$353.37
Astera Labs Inc (ALAB.O)	O (05/11/2025)	$249.74
Broadcom Inc. (AVGO.O)	O (06/09/2024)	$370.32
Cerebras Systems (CBRS.O)	O (06/08/2026)	$169.39
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	$47.07
Intel Corporation (INTC.O)	E (02/22/2023)	$81.88
IonQ Inc (IONQ.N)	E (04/25/2023)	$31.99
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	$163.40
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	$71.37
Micron Technology Inc. (MU.O)	O (10/06/2025)	$739.00
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	$9.74
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	$190.01
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	$240.98
ON Semiconductor Corp. (ON.O)	++	$78.86
Qorvo Inc (QRVO.O)	E (10/28/2025)	$89.50
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	$155.68
Quantinuum (QNT.O)	E (06/29/2026)	$47.34
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	$1,015.89
Semtech Corp. (SMTC.O)	E (04/06/2025)	$103.55
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	$216.44
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	$61.19
Texas Instruments (TXN.O)	U (04/13/2020)	$271.30
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	$20.06

Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	$224.89
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	$332.76
Synopsys Inc. (SNPS.O)	E (02/27/2026)	$373.69

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* Historical prices are not split adjusted.